



SYMBIOSIS INTERNATIONAL (DEEMED UNIVERSITY)

(Established under section 3 of the UGC Act, 1956)
Re-accredited by NAAC with 'A++' Grade Awarded Category - I by UGC

Seat No.						
----------	--	--	--	--	--	--

Institute: (0203)SYMBIOSIS CENTRE FOR MANAGEMENT AND HUMAN RESOURCE DEVELOPMENT,
PUNE

Programme: (020341) MASTER OF BUSINESS ADMINISTRATION

Batch: 2024-26

Semester: I

Course: Introduction to Financial Management

Course Code: 0203410105

Date: 12/03/2025

Maximum Marks: 40

Day: Wednesday

Time: 09:30 - 11:00

NOTE : DO NOT WRITE ANYTHING ON THE QUESTION PAPER

Instructions:

- All questions are compulsory.
- Questions carry different marks, as indicated.
- Use of Excel / Calculator is permitted.
- Show all your workings and formulae / excel functions used in calculation / evaluation in your Answer Sheet.
- All answers to be written in hard copy (Answer Sheet only); Excel working not to be submitted.

Q.1 Answer the following in brief:

(9 Marks - 3 Marks each) (CO 3)

- Under what circumstances would a company, which has issued fixed rate debentures, be concerned about market interest rate movements, although the interest outgo for the company is already fixed?
- Ordinarily a company would not be directly concerned with movements in the market price of its share. Under what circumstances, would the market price of its share be of relevance to the company?
- A company has issued 12% p.a. (semi-annual) Debentures for 8 years - with an embedded 'Put' option after 5 years. Under what circumstances is the 'Put' option likely to be exercised (when the window is open at the end of 5 years)?

Q.2 Following numbers have been extracted from the financials of Green Energy Ltd. for the year 2023-24:

(4 Marks) (CO 1)

- Cost of Debt 15% p.a. (applied annually)
- Earnings before Interest and Tax as a percentage of Capital Employed - 12%
- Debt-Equity Ratio is 1:1

- (i) What is the Return on Equity (*Ignoring any impact of Corporate Tax*)?
- (ii) In the above example, what is the maximum Debt to Equity Ratio can the Company sustain without going into loss (*Ignoring any impact of Corporate Tax*)?

Q.3 Explain the characteristics of Preference Share that render it to be a 'Hybrid' instrument.
(3 Marks) (CO 1)

Q.4 What are the main differences between issuance of Bonus Shares and Share-Split, although both result in increased number of outstanding shares with no cash inflow for the issuer company?
(4 Marks) (CO 3)

Q.5 (Marks 10) (CO 2)

A firm with a 14% WACC is evaluating two projects for this year's capital budget. After tax cash flows, including depreciation, are as follows:

	0	1	2	3	4	5
	----- ----- ----- ----- ----- -----					
Project A	-\$6,000	\$2,000	\$2,000	\$2,000	\$2,000	\$2,000
Project B	-\$8,000	\$5,600	\$5,600	\$5,600	\$5,600	\$5,600

- Assuming the projects are independent, which project should be accepted based on payback, NPV and IRR techniques?
- If the projects are mutually exclusive, which would you recommend?

Show All your workings, formulae/ excel functions used in evaluation

Q.6 (Marks 10) – CO2

Weddlock Electric Inc. (WDE) has developed a solar panel capable of generating 200% more electricity than any other solar panel currently on the market. To finance this product line, WDE borrowed \$400 million as long-term debt. Management has also decided to halt the dividend payments to increase retained earnings to reinvest in the project for near future. Projected free cash flows for next five years are as follows:

(243)

211

311

369

396

Other firm will have developed comparable technology at the end of 5 years, and the growth of WDE's will slow to 5% per year indefinitely. WACC is 10.7% and it has 30 million shares of common stock outstanding.

- a. Estimate the WDE's total value today.
- b. What is an estimate of WDE's price per share?

Show All your workings, formulae/ excel functions used in evaluation
